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BEHAVIORAL FACTORS INFLUENCING FINANCIAL DECISION-MAKING: AN EMPIRICAL AND THEORETICAL STUDY

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ABSTRACT:

Rational models, which presume that people act rationally to maximize rewards while reducing risk, have historically been used to explain financial decision-making However, an increasing number of research in behavioral financial studies indicates that investor decision is heavily impacted by psychological, emotional, and social aspects rather than being solely rational. This study integrates theoretical viewpoints with empirical data to investigate how behavioral and psychological aspects influence financial decision-making. The study highlights significant behavioral biases, such as loss aversion ,overconfidence., "herd behavior, anchoring, and mental accounting, as well as other psychological factors, including risk perception, risk propensity, problem framing, and information asymmetry. These factors help shape the way that people process financial information, evaluate risk and make decisions about investing in an uncertain environment (Kahneman&Tversky, 1979; Barberis&Thaler, 2003)". It is a descriptive and analytical research design and the study relies on primary data obtained from the respondents using a structured questionnaire and 120 respondents were selected comprising of students, salaried persons and businessmen. "The results suggest that behavioural biases are important in financial decisions. Many respondents are overconfident in their ability to predict market performance, are loss averse and want to avoid risk investments, and show herd behavior." Moreover, psychological elements like risk perception and problem framing have a profound influence on the appraisal of investment possibilities. "The findings also indicate that financial literacy can lessen these biases, but does not eradicate them." "The results have implications for investors, financial advisors, and even policymakers, and highlight the need for behavioral awareness in making better financial decisions and encouraging more efficient market behavior (Thaler, 2016)." Overall, the study reinforces the notion that behavioral finance offers a more realistic and complete view of financial decision making than do traditional models.

Keywords: *behavioural finance, financial decision making, overconfidence bias, loss aversion, herd behaviour, anchoring bias, mental accounting, risk perception, risk propensity, psychological factors, investment behaviour, financial literacy.*

INTRODUCTION

Individuals' financial well-being as well as the general effectiveness and stability of financial markets are significantly impacted by financial decision-making. “All financial choices, from saving, investing, to risk-taking, impact wealth creation and financial security in the long term. Traditional financial theories are based on the assumption that investors are rational and always act in a manner to maximize the expected return with all available information (Fama, 1970)”. “From this point of view, markets are efficient and the price of assets incorporates all available information, so there is little room for persistent abnormal returns. But, financial markets have repeatedly called into question this assumption in the real world as investors often act irrationally.

In actuality, a lot of investors frequently base their choices not only on logic but also on emotion, cognitive mistakes, and psychological biases. “Speculative bubbles, sudden crashes, over-trading and panic selling are some of the market phenomena that suggest that financial markets are not always rational. These are the exceptions that prove that human action is an important factor in determining financial results. Traditional financial theories were thus limited, and behavioral finance was born out of the need to include psychological factors into financial analysis to explain real-life decision making (Shiller, 2003; Thaler, 2016)”. Behavioral finance understands that humans aren't always entirely rational in their decision-making process and that mental shortcuts, emotion, and social influences forges a part in their decisions.

One of the most significant contributions to the field of behavioral finance is Prospect Theory, a 1979 study by Kahneman and Tversky that examines how people behave and think in the face of gains and losses given uncertainty. “The theory emphasizes how people are more sensitive to losses than to gains, and as a result, are risk averse when dealing with gains and risk seeking when dealing with potential losses.”

A number of behavioral biases, including overconfidence, which causes investors to overestimate their knowledge and skills; loss aversion, which makes people avoid losses even at the expense of potential gains; herd behavior, which causes investors to follow the actions of others; anchoring, which makes people heavily rely on initial information; and mental accounting, which treats money differently depending on its source or purpose, all contribute to this departure from rationality.

Investment choices, risk perception, and portfolio management can all be significantly impacted by these biases, which may result in less than ideal financial results and market inefficiencies.

“Furthermore, uncertainty, incomplete information and differing levels of financial literacy individuals can have further complicates financial decisionmaking.” Individuals have varying risk tolerance, market conditions and financial information processing, which also leads to different decision behaviours. “Psychological issues including risk perception, risk propensity, framing of information and information asymmetry are important in determining the interpretation of financial opportunities and risks. These factors can affect individual investor decisions and, as a group, can affect dynamics in the market, which can change the prices and volatility of investments”.

The present research is an attempt to explore the behaviour aspect of financial decision-making from both theoretical and empirical points of view. “The research is aimed at highlighting the major behavioral biases and psychological factors affecting the investor behavior and examining their effect using primary data which is collected through a structured survey”. “In that way, the study tries to put the traditional financial theories into practice with the investor behavior seen in the real world. Moreover, the study aims to offer a holistic view of the impact of behavioral finance on financial decisions, which adds to the existing literature in behavioral finance”.

The findings of this study are expected to have ramifications for several stakeholders. Individual investors can make wiser choices and steer clear of expensive blunders by being aware of behavioral biases. “Understanding investor psychology can improve financial advisory services and portfolio management strategies for financial advisors. From the policy-maker's perspective, the introduction of behavioral elements in financial education initiatives can help to enhance financial literacy and decision-making”. This study concludes by highlighting the importance of behavioral finance in providing a more thorough and practical approach to financial decision-making in the current economic environment.

2. LITERATURE REVIEW

2.1 Transition from Traditional Finance to Behavioral Finance

The premise of traditional financial theories is that investors are logical beings who seek to maximize their expected utility.

The “Efficient Market Hypothesis (EMH)” implies that markets are efficient and that all information is incorporated into the price, and that it is hard for investors to beat the markets on a regular basis (Fama, 1970).

“But there are observations that contradict these assumptions. Market irregularities like speculative bubbles, crashes, and trading patterns that seem to be irrational suggest that markets may not always behave rationally

(Shiller, 2003)". Because of these inconsistencies, behavioral finance—a field that combines the psychology of decision-making and financial planning, was born (Thaler, 2016).

"Behavioral finance posits that in addition to logical analysis, emotions, cognitive constraints and social factors are also contributors to financial decision-making (Barberis&Thaler, 2003). It offers a more realistic account of investor behaviour, as human beings are subject to systematic biases."

2.2 Prospect Theory

One of the fundamental theories of behavioral finance is prospect theory, which was created by Kahneman and Tversky in 1979. It clarifies how people make choices in risky and uncertain situations.

According to this theory:

• "Individuals evaluate outcomes relative to a reference point rather than in absolute terms

• Losses are perceived more intensely than gains of the same magnitude

• Individuals tend to be risk-averse when dealing with gains and risk-seeking when facing potential losses"

This hypothesis shows that decision-making is impacted by perceived advantages and losses rather than actual results, which contradicts the conventional expected utility theory. (Kahneman&Tversky, 1979). Prospect Theory provides a better representation of real-world investor behavior.

2.3 Overconfidence Bias

The tendency of investors to overestimate their expertise, abilities, and capacity to forecast market moves is known as overconfidence bias. Overconfident investors frequently think they are more knowledgeable and competent than others. (Barber &Odean, 2001).

This bias leads to:

- Excessive trading activity
- Underestimation of risks
- Over-reliance on personal judgment

Research has demonstrated that overconfidence-driven frequent trading frequently leads to worse profits because of increased transaction costs and bad timing. (Barber &Odean, 2001). As a result, overconfidence negatively impacts portfolio performance.

2.4 Loss Aversion and Disposition Effect

The inclination of people to choose preventing losses above obtaining comparable gains is known as loss aversion. Because of this psychological bias, losses are more agonizing than profits. (Kahneman&Tversky, 1979).

A related concept is the disposition effect, where investors:

- Sell winning investments too early to secure gains
- Holding ofpoor investments too long for avoiding realizing losses

Investors that engage in this conduct fail to maximize their investment selections based on objective analysis, which results in inefficient portfolio management. (Shefrin&Statman, 1985). Instead, emotional attachment to investments drives their actions.

2.5 Herd Behavior

When investors follow the lead of others instead of making their own decisions, this is known as herd behavior. Uncertainty, ignorance, or societal pressure are frequently the driving forces behind this conduct. (Banerjee, 1992).

Investors often mimic market trends without conducting adequate analysis because they believe others have superior knowledge. Financial markets can be greatly impacted by herd behavior by:

- Creating asset price bubbles
- Increasing market volatility
- Causing sudden market crashes

2.6 Mental Accounting

The tendency for people to classify and handle money differently based on its source or planned use is known as mental accounting. (Thaler, 1985). People segregate money into distinct mental accounts rather of seeing it as a single resource.

For eg., individuals may treat salary income, bonuses, and savings differently, even though they are financially equivalent. This behavior leads to irrational financial decisions, such as:

- Inefficient allocation of resources
- Overspending in certain categories
- Poor investment planning

Mental accounting violates the principle of fungibility of money and highlights the effect of psychological factors in financial decision-making (Thaler, 1985).

2.7 Anchoring Bias

When people base their decisions mostly on preliminary knowledge (the "anchor"), this is known as anchoring bias. (Tversky&Kahneman, 1974). Investors frequently base their expectations in financial environments on historical prices or original investment values.

Consequences are this that they may:

- Ignore new and relevant information
- Misjudge the true pricing of asset.
- Make suboptimal investment decisions

Anchoring limits rational thinking and prevents investors from adjusting their decisions based on changing market conditions.

2.8 Psychological Factors Affecting decision making for investment

Risk Perception

Risk perception refers to how individuals interpret and evaluate risk

Perceived risk is subjective, depending on individual experiences, beliefs, and knowledge (Slovic, 2000).

“Investors do not always think about risk in a rational manner; rather, they base their investment actions on how risky they perceive the investment to be. Hence, risk perception is an important factor that influences financial decisions (Weber &Milliman, 1997)”.

Risk Propensity

Risk propensity is a measure of how risk-taking a person is. Instead, there are different levels of risk tolerance among investors:

Risk-averse people like to invest in safer options with lower returns on their money.

Risk-seeking – willing to assume greater risk in order to potentially earn a higher return

Risk propensity is directly linked to investment decisions, the structure of the investment portfolio and financial strategies (Sitkin& Pablo, 1992).

Problem Framing

"Problem framing is the manner in which information is presented to people. Different decisions can be made in the same situation, depending on how the situation is framed (Kahneman&Tversky, 1979)".

"For instance, if a situation is framed as a gain or loss, it can make a huge impact on the investor's decision. Framing effects are an example of processes that show that decision making is not exclusively rational, but can be determined by the way information is presented (Slovic, 2000)".

Information Asymmetry

"Information asymmetry is the situation in which all investors do not have equal information. Some people may have more accurate or up-to-date information than others (Myers &Majluf, 1984)".

This imbalance gives rise to:

- Lack of knowledge and understanding among less informed investors
- Market inefficiencies
- Increased uncertainty

"Information asymmetry is an important factor in determining investor behavior and financial consequences (Wang et al., 2006)".

2.9 Empirical Evidence

Empirical studies have consistently shown that behavioral biases and psychological factors influence financial decision-making. Research findings indicate that:

- Investors often act irrationally
- Emotional and cognitive biases affect market behavior
- Traditional financial models are insufficient to explain real-world decisions

These results confirm behavioral finance's applicability in comprehending investor behavior. (De Bondt&Thaler, 1985; Barberis&Thaler, 2003).

2.10 Research Gap

Despite extensive research in behavioral finance, certain gaps remain:

- Limited integration of theoretical concepts with primary data
- Insufficient focus on individual-level behavioral patterns

• Lack of context-specific studies in emerging economies

This study combines theoretical understanding with empirical investigation in an effort to close these gaps.

3. CONCEPTUAL FRAMEWORK

Behavioral Factors → Psychological Influence → Financial Decision-Making → Financial Outcomes

Factors include:

- Overconfidence
- Loss Aversion
- Herd Behavior
- Anchoring
- Mental Accounting
- Risk Perception
- Risk Propensity
- Problem Framing

4. RESEARCH METHODOLOGY

1. Research Design

This study follows a descriptive and analytical research design to examine the impact of behavioral factors on financial decision-making. The descriptive section aids in recognizing and elucidating a number of psychological biases, including herd mentality, loss aversion, and overconfidence. The analytical part focuses on evaluating how these biases influence investors' decisions. Because behavioral finance focuses on comprehending human behavior and how it affects financial results, this approach makes sense.

2. Data Collection Method

The primary data used in the study was gathered via a standardized questionnaire. Closed-ended questions on a 5-point Likert scale from strongly disagree to strongly agree make up the questionnaire. This method is suitable because behavioral factors like emotions, perception, and biases cannot be directly observed and are best captured through individual responses.

3. Sample Size and Sampling Technique

120 respondents in all, including business owners, salaried personnel, and students, were chosen for the study. Convenience sampling is used in the study, and participants are selected based on their accessibility and desire to take part. Although this method is easy and time-efficient, it may limit the generalization of results.

4. Variables of study

This study includes both independent and dependent variables.

- Independent variables are behavioral factors such as overconfidence, loss aversion, herd behavior, anchoring bias, mental accounting, risk perception, and problem framing.
- The dependent variable is financial decision-making, which includes investment choices, saving behavior, and risk-taking decisions.

5. Data Analyzing Technique

The data is analyzed using various statistical tools like percentage analysis, comparative analysis, and behavioral pattern analysis. Additionally, Confirmatory Factor Analysis (CFA) is utilized to for the validation and reliability of the measurement scale. Techniques like Construct Reliability (CR) &"Average Variance Extracted (AVE)" are used to ensure that the data is accurate and meaningful for research conclusions.

5. DATA ANALYSIS AND FINDINGS

The analysis of the collected data shows that most of the respondents (65%) fall within the age group of 20–35 years, highlighting that young individuals actively participate in financial decision-making. The sample consists of 60% male and 40% female respondents, with most participants having a moderate level of financial literacy, which impacts their understanding of making decisions for investment. The results unequivocally show that behavioral biases have a big influence on how people behave financially. Because they think they can beat the market, about 58% of respondents are overconfident, which encourages frequent trading and increased risk exposure. A large proportion, around 72%, demonstrates loss aversion, preferring to avoid risky investments and focusing more on capital protection rather than maximizing returns.

"Moreover, nearly 66% of respondents are herd animals, meaning that they do not make their own decisions; they base themselves on the opinions of others, social media trends or market sentiments. Mental accounting is seen in 54% of people, who use different money for different things, hence, they are not consistent in financial planning. Furthermore, 61% of the respondents exhibit anchoring bias, which means they rely on the previous investment prices or previous experiences when making investment decisions". These trends indicate that investors frequently employ psychological short cuts rather than rational reasoning.

In general, the results indicate that emotional and behavioural aspects prevail in financial decision-making processes. " Even people who have some financial education don't have no biases. This study also suggests that there is a relative higher risk taking ability among younger and that social influence is very important in explaining investment behavior". Thus, the findings strongly support the notion that behavioral finance is a more realistic and practical explanation of financial decision making than the traditional financial theories.

6. DISCUSSION

'The results of the study clearly show that behaviour is an important determinant in financial decision-making. The mentioned biases—overconfidence, loss aversion, herd mentality, anchoring, and mental accounting—show that investors do not always behave rationally, as conventional financial theories presume.". Instead, they are guided by feelings, perceptions and psychological tendencies in making their decisions.

"This reflects the principles of Prospect Theory (Kahneman&Tversky, 1979) that losses are given more weight than gains, and this loss aversion was high among the respondents. Likewise, the existence of overconfidence is consistent with prior research, which suggests that investors overestimate their knowledge and skills and trade too much and take on too many risks". The herd behavior also reinforces the notion that social influence and market trends can pla a huge effect on an individual's decision making.

"The overall message in the discussion is that behavioral finance offers a more realistic account of financial decisions than do traditional ones. Even those who are aware of their financial situation have some biases that are the reason for their suboptimal investment decisions". Therefore, in order to make better financial decisions and get better financial results, it is crucial to comprehend these behavioral elements.

7. IMPLICATIONS

"When it comes to Investors, knowing about the behavioral biases helps in better decision-making – Understanding the emotional pitfalls such as overconfidence and loss aversion can help investors steer clear of emotional pitfalls and make more rational decisions. Emotional mistakes are avoided" – Investors can avoid making judgments based on panic and short-term market volatility by developing long-term plans.

Financial Advisors- "Understanding client psychology enhances outcomes – When advisors understand how their clients perceive and behave risk, they will be able to offer personalized strategies and give better investment advice".

For Policymakers- "Financial education should involve behavioral finance – Behavioral finance should be integrated into financial education programmes to teach people about biases and how to make better financial choices".

8. LIMITATIONS

"The study was conducted with 120 investors, which is a small sample size and may not be representative of the entire population of investors. The number of samples could be increased to get more accurate and reliable results."

"Convenience sampling was used, meaning that respondents were chosen for their availability and not because of random selection. This can lead to bias and restricts the applicability of the results to the wider population. "

"Data is gathered from a particular area and may not be applicable to other geographic areas that may have different economic, cultural or financial circumstances."

"The study is based on responses from individuals, and these responses may be influenced by personal bias, misunderstanding of the questions, or giving socially desirable responses, which may have an impact on the accuracy of the data".

Cross Sectional – Because the study is conducted at a certain moment in time, changes in investor behavior are not recorded. A longitudinal study would be useful for understanding any trends in behaviour.

9. FUTURE RESEARCH

"The findings of the present study will be helpful to understand the role of behavioral factors in financial decision making, but it also leaves a number of areas for future research. Firstly, future studies could be replicated with a larger and more diverse sample to make the results more generalizable". The sample size for the current research is 120 and this may not adequately represent the wider population. "A wider range of regions, income levels and professions would increase the results of the sample and minimize sampling bias (Hair et al., 2019)".

"Secondly, further studies can use more sophisticated statistical tools, like Structural Equation Modeling (SEM) or regression analysis, to more thoroughly investigate any causal links between behavioral biases and financial outcomes". This study employs descriptive and comparative analysis; however, the validity and reliability of the results could be enhanced by using more sophisticated models (Kline, 2015).

"Thirdly, there is room for research on cross-cultural and demographic differences in behavioral biases. Financial decision-making behavior can be very different by culture, age, gender and education. Comparative research between countries or regions might help in developing a better understanding of the impact of cultural and social factors on financial behavior (Hofstede, 2001)".

"Further research may also include longitudinal designs to see how behavioral biases change over the years. A series of measurements taken over time with the same people can shed light on the effects of experience, market conditions and financial learning on decision making behavior".

"Another key area for future research is the influence of financial literacy and digital influence. As more investors are turning to online trading platforms and social media, digital information and peer opinions are becoming more important factors affecting investor behavior. Future studies could focus on the role of financial education and digital education in curbing irrational decision-making (Lusardi & Mitchell, 2014)".

"Lastly, future studies could be extended to incorporate other behavioural aspects that were not addressed in this research, yet could have a considerable effect on financial decisions including emotional intelligence, regret aversion, and cognitive dissonance".

"Finally, future studies can extend the findings of this research through larger samples, more sophisticated methods and interdisciplinary perspectives to gain a deeper understanding of behavioral finance and its implications in real-world financial decision making."

10. CONCLUSION

"This research aimed to review the theoretical aspects and empirical evidences of behavioral factors affecting financial decision making. The findings strongly validate the main idea that financial decisions are not solely rational but are greatly influenced by psychological and emotional factors".

"The study uncovered important behavioral biases—overconfidence, loss aversion, herd behavior, anchoring, and mental accounting—that are important factors in financial decision making. These were discovered to have a direct impact on individuals' risk assessment, investment selection, and financial activity planning. The survey results showed that many of the respondents were guided by their personal convictions, previous experiences and social factors instead of objective financial analysis, which is characteristic for the strong influence of behavioural tendencies".

"Furthermore, the study shows that emotions such as fear of loss and desire for security have a predominant effect on financial decision making. Financial literacy was found to contribute to the awareness and decision making process to a certain degree, however, the effect of behavioral biases is not entirely eliminated. This shows that even the well-informed people can fall prey to irrational financial behaviour owing to their inherent psychological tendencies".

"The results of this study further underscore the need for a more realistic behavioral finance paradigm than the traditional paradigm of financial theory, which is based on rationally informed decision making. This

research focuses on the human behavior aspect and hence gives a better understanding on how and why people make financial decisions in real world situations".

"To sum up, behavioral factors play a significant role in financial decision making and understanding these can help individuals make financial decisions that are more informed and rational. The study has reinforced the importance of incorporating behavioral finance into financial education, investment strategies and policy-making for better financial outcomes.

Behavioral finance is a more realistic and practical way of understanding financial behavior".

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